HEDGEYE

The Call @ Hedgeye | Replay & Summary | 4/20/2026

04/20/26 09:54AM EDT

We've highlighted some key callouts below from today's edition to make sure you're fully prepared and aware of what our analyst team is watching right now.

CLICK HERE ***to access the video and audio replay***

HEDGEYE POSITIONS

(Positioning refers to each sector's position monitors)

LONGS: MRVL, CASY, MUSA, GLASF, WRBY, REAL, DGX, TXG, JPM, MTDR, FANG, DAR, PBR, GOOGL, ROKU

SHORTS: CPB

NEUTRAL: ONTO, $YSWY, CLF, QXO, BLD

TOP 5 MOST ACTIONABLE

(Positioning based on Hedgeye's Macro Signals, sector analysis and Signal Strength)

- **Marvell Technology (MRVL):** Driven by ASIC-related upside tied to hyperscaler demand; potential inclusion in Google TPU ecosystem is a key catalyst; remains underfollowed relative to peers despite strong price momentum; positioned as one of few semis with incremental upside potential
- **Campbell Soup Company (CPB):** Concerns around brand quality deterioration (Rao's) and negative consumer feedback; fundamentals remain weak despite recent stock movement; fits broader bearish view on Staples sector
- **JPMorgan Chase (JPM):** The first financial name to flip to bullish trend during the Quad 3-to-Quad 2 transition last week; financials broadly transition from one of the worst Quad 3 exposures to one of the best Quad 2 exposures
- **Darling Ingredients (DAR):** Benefits from higher diesel prices and favorable energy dynamics; strong free cash flow outlook; consistently appears on signal strength lists; viewed as one of the strongest remaining energy-related longs
- **Roku, Inc. (ROKU):** Bullish trend shift; digital media and traditional media spend data through February accelerated, driven by the Winter Olympics and Super Bowl; World Cup and political advertising expected to drive revenue growth in excess of 20% year-over-year with margin expansion

MACRO COMMENTARY

- Quad 2 environment confirmed; signal strength list at ~58 longs vs. ~65 shorts; sharp reduction in shorts from prior levels (~115) reflects systematic covering
- Oil characterized as bearish TRADE but bullish TREND; similar setup in bond yields with higher-for-longer dynamic
- Emphasis on process-driven investing and reacting to signals rather than fundamentals alone; strong focus on stop-loss discipline and trend-following
- Broad shift from Quad 3 → Quad 2 driving sector rotation, particularly into financials and select cyclicals

SECTOR SUMMARY

(Analyst positioning may occasionally vary from the Macro signal)

Global Technology: Felix Wang - 00:02:54

- **Onto Innovation (ONTO):** Removed from Best Idea Long after +139% run; key catalyst (TSMC G5 tool validation) realized; valuation now ~10 turns above historical → limited upside; taking a pause despite strong trend

- **Marvell Technology (MRVL):** Strong upside tied to ASIC ecosystem; potential Google TPU design win; remains underappreciated vs. peers; viewed as high-upside semiconductor opportunity

Restaurants & Cannabis: Bennett Cheer - 00:09:30

- **Cannabis Relaunch:** Hosting the relaunch ***Black Book today at 10:00 AM ET***; covering rescheduling policy dynamics, tax burden relief, regional consolidation; **Glass House Brands (GLASF)** moved to active long driven by export opportunity to Europe at ~3x pricing
- **Signal Strength Changes:** Notable signal changes include **Chipotle (CMG)**, **Darden (DRI)**, **Beyond Meat (BYND)**, **DoorDash (DASH)**, and **Dutch Bros (BROS)**

Consumer Staples: Daniel Biolsi - 00:12:35

- **Campbell's Company (CPB):** Remains a Best Idea Short; negative user commentary on Rao's brand recipe changes is building — if sustained, this represents a headwind to Campbell's fastest-growing brand
- **YesWay (YSWY):** IPO scheduled for Wednesday; hosting a pre-IPO *Black Book today at 12:30 p.m. ET*; C-store outperformance drivers (**CASY, MUSA**) have been top performers in the coverage universe this year) should serve as tailwinds for YSWY; YSWY's smaller store base and new store development pipeline provide a self-help margin and sales acceleration opportunity; IPO range is viewed as compelling, though no position established yet

Retail: Brian McGough - 00:18:03

- **Warby Parker, Inc. (WRBY):** Gained signal strength, aligning fundamentals with technical signal; Google is hosting a consumer product event around May 15 at which Google Glasses will be unveiled; glasses expected in stores approximately two months later (June–July), at which point revenue generation begins; company embedded full Google Glasses launch costs in guidance but excluded all revenue — consensus models also exclude revenue, setting up a beat; Pod 1 (revenue acceleration) expected to accelerate significantly; Pod 2 may be a push given initially lower-margin glasses
- **RealReal, Inc. (REAL):** Gained signal strength; fundamentals continue to improve with Pod 1 trending higher

Health Care: Tom Tobin - 00:24:29

- **Quest Diagnostics, Inc. (DGX):** Moved from active long to long bench; Q1 volume trending in-line to slightly ahead, with stable pricing; however, the consumption cliff (fuel/inflation headwind to consumer healthcare utilization) and DGX's status as the lowest quintile in Hedgeye's new Quad Factor Score drove the demotion; next analytical step is assessing whether DGX should become a short; high operational costs

- **10x Genomics, Inc. (TXG):** NIH spatial genomics data is accelerating against easy comparables; NIH funding appears stable from a policy perspective; top quintile Quad Factor Score; described as an accelerating top-line story with AI optionality

Healthcare Policy: Emily Evans - 00:30:22

- President Trump signed an executive order on Friday expanding treatments for mental health illness, including certain psychedics; at the signing event, Trump publicly confirmed cannabis rescheduling is a priority, stating the DOJ is "slow-walking" the process; structural DOJ obstacles include: (1) leveraging of drug charges in unrelated criminal prosecutions, and (2) federal sentencing guidelines that express drug quantities in marijuana-equivalent units — both require significant legislative/regulatory work to unwind before rescheduling can be finalized

Macro, Housing, Digital Assets & Financials: Josh Steiner - 00:34:14

- **Fed Chair Hearing:** Kevin Warsh confirmation hearing is tomorrow; Polymarket odds: 35% probability of confirmation by May 15, 73% probability of confirmation by June 30; Senator Tom Tillis has conditioned support on DOJ dropping criminal charges against Jerome Powell; if DOJ drops the investigation, confirmation timeline likely moves forward; rates market volatility expected around this process

Industrials & Materials: Jay Van Sciver - 00:45:14

- **Cleveland-Cliffs, Inc. (CLF):** Reporting this week; company continues to lose money while increasing capital expenditures 25% year-over-year; revenue growth of approximately 5–6% with volume up approximately 3%; management citing short-term headwinds including energy prices; structurally difficult business model; cited as evidence that tariffs are not producing intended domestic steel benefits

- **QXO / TopBuild:** QXO is acquiring BLD for $17 billion; building products distribution roll-up strategy mirrors Equipment Rental consolidation playbook; the sector benefits from higher freight costs (reduces competitive geography, supports margins)

Energy: Fernando Valle – 00:49:06

- **Matador Resources (MTDR) and Diamondback Energy (FANG):** Both remain longs; at current oil prices ($85–$98 range), high-beta Permian names generate significantly higher free cash flow; FANG has a higher-quality balance sheet and is preferred for investors seeking lower volatility; MTDR carries more balance sheet risk but both names remain positioned well

- **Darling Ingredients (DAR) and Petrobras (PBR):** Both remain longs; DAR benefits from elevated diesel prices driven by loss of Middle Eastern crude refining capacity — U.S. crude does not produce diesel at comparable rates to Middle Eastern grades; structural middle distillate undersupply expected to persist; PBR benefits from Brent-based pricing relative to WTI

Communications & Software: Andrew Freedman - 00:53:12

- **Alphabet Inc. (GOOGL):** Q1 cloud-driven acceleration expected; GCP revenue growth projected ~70% vs. consensus mid-40%; Google Cloud Next conference a near-term catalyst
- **Roku, Inc. (ROKU):** Strong Q1 ad trends driven by major events; accelerating demand into mid-year (World Cup, political cycle); >20% revenue growth with margin expansion expected

Macro Policy: JT Taylor - 00:59:12

- **Fed Chair / Kevin Warsh:** Confirmation hearing tomorrow; Tillis red line (DOJ must drop criminal charges against Powell) is the primary political obstacle; Supreme Court Cook decision (timing uncertain) may impact what happens on May 15 when Powell is scheduled to step down; if DOJ drops the investigation, confirmation likely accelerates; June 30 timeline viewed as more probable than May 15 per prediction markets
- **Iran / Middle East:** The next 48 hours described as the most critical in the current Iran negotiation; Vice President Vance heading to Pakistan; Iran has not yet accepted terms; weekend developments were a setback to what had appeared to be positive momentum; if all parties meet by Wednesday, the situation may be approaching resolution

(This summary has been enhanced with A.I., which can sometimes make errors)

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